Calendar Line 6

Case Name: *WATCHPOINT LOGISTICS, INC. et al vs Daniel Osuna et al*
Case Number: 22CV408952

Proposed Intervenor Colony Insurance Company ("Colony"), as a putative insurer of the Defendants, Daniel A. Osuna and OSD Construction, Inc. ("Defendants") moves for an Order permitting Colony to intervene in this action and for an Order setting aside the entry of default taken against Defendants and vacating the default judgment against Defendants entered on January 13, 2025.

Despite the cases cited by the parties, the procedural particularities of Colony's request remain, to this Court, somewhat unclear. As stated in *Western Heritage Ins. Co. v. Superior Court* (2011) 199 Cal.App.4th 1196 (*Western Heritage*), an insurer generally can "move to intervene prior to the entry of judgment, *or* move to set aside the default judgment if that judgment has already been entered." (*Id.,* at pp. 1210-1211, emphasis added, citing *Reliance Ins. Co. v. Superior Court* (2000) 84 Cal.App.4th 383, 387 ("*Reliance*").) Here, judgment has been entered and there are no other parties to the action between Plaintiff and Defendants. In a footnote, the Court in *Western Heritage* went on to say, "Clearly, if there are no other parties still litigating the action, an insurer cannot intervene in an action after a default judgment has been entered against its insured, as there will be no pending action in which to intervene. In contrast, if the action is still pending against a party which may be jointly liable with the defaulting insured, it is improper to enter judgment against the defaulting defendant while the action remains pending against the other defendant. (6 Witkin, Cal. Procedure (5th ed. 2008) Proceedings Without Trial, § 135(b), p. 573.) Thus, intervention would be possible." (*Western Heritage, supra,* 199 Cal.App.4th at p. 1210 fn. 18.)

On the other hand, it has been recognized that "intervention is possible, if otherwise appropriate, at any time, even after judgment." (*Mallick v. Superior Court* (1979) 89 Cal.App.3d 434, 437.) *Jade K. v. Viguri* (1989) 210 Cal.App.3d 1459 and *Nasongkhla v. Gonzalez* (1994) 29 Cal.App.4th supp. 1, (*Nasongkhla*) both involved intervention by an insurer *for purposes of vacating a default judgment* against the defendant, but those cases focused more on the merits of the motion to vacate the default judgment, not on the procedural propriety or timeliness of postjudgment intervention.

Ultimately, insurers have standing to move to set aside a default judgment against the insured. (*Clemmer v. Hartford Insurance Co*. (1978) 22 Cal.3d 865, 884–885. If such a motion is meritorious, then the insurer's motion to intervene in the once again "pending" action is well-taken. Regardless of which motion is considered the chicken and which one the egg, Colony will not be precluded from making either.

As to Colony's motion to vacate the default judgment, the Court finds Colony has satisfied both sections 473 and 473.5. Colony lacked actual notice of the lawsuit, and the Court is satisfied that the supporting declaration is neither conclusory nor lacking in credibility. Moreover, Colony exercised reasonable diligence under the circumstances. The undisputed fact that Defendants did not comply with their duty to cooperate under the Colony policy and did not notify Colony of the lawsuit resulted in a judgment taken through inadvertence or surprise.

Accordingly, the Court will vacate and set aside the Default Judgment entered against Defendants Daniel A. Osuna and OSD Construction, Inc. Colony's Motion to Vacate the Default Judgement is GRANTED.

Colony's motion to vacate the *entry* of default against Defendants Daniel A. Osuna and OSD Construction, Inc., is subject to a different analysis.

> "An intervening insurer is *not* bound by a default taken against its insured. "'It is an established principle of law that admissions implied from the default of one defendant ordinarily are not binding upon a codefendant who, by answering, expressly denies and places in issue the truth of the allegations thus admitted by the absent party.'" (*Taylor v. Socony Mobil Oil Co*. (1966) 242 Cal.App.2d 832, 834; see also *Morehouse v. Wanzo* (1968) 266 Cal.App.2d 846, 852–853 [an employer liable under respondeat superior "may take advantage of any favorable aspects of the judgment against the employee, but he is not bound by the issues resolved against the employee by the latter's default"].)
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> It makes no logical difference whether the nondefaulting codefendant was originally named as a defendant or joined the action, as in this case, by subsequent intervention. A party's default does not bind nondefaulting codefendants, even when the basis for the action against the codefendants is vicarious liability arising from the acts of the defaulting defendant. Thus, an insurer intervening in an action to pursue its own interests after its insured has defaulted is not required to move to vacate the insured's default as to itself; the insured's default simply has no effect on the insurer. To the extent the language in *Nasongkhla* impliedly states otherwise, we disagree and decline to follow it."

(*Western Heritage, supra,* 199 Cal.App.4th at p. 1211, emphasis original, footnote omitted.) Because the insured's default has no effect on the insurer, there is no basis upon which to vacate the entry of default as to Defendants. In fact, in this case, it is proffered that Defendant Osuna is deceased and OSD Construction, Inc. is suspended. Thus, setting aside the entry of default as to Defendants presents no reasonable likelihood of either defendant now answering. However, as explained in *Western Heritage,* if permitted to intervene, Colony may still seek to pursue its own interests.

Based on the foregoing, Colony's Motion to Vacate the Entry of Default against Defendants Daniel A. Osuna and OSD Construction, Inc. is DENIED.

Having determined that the judgment in this action is vacated, the case is again pending and the Court has discretion to permit a nonparty to intervene if "(1) the proper procedures have been followed; (2) the nonparty has a direct and immediate interest in the action; (3) the intervention will not enlarge the issues in the litigation; and (4) the reasons for the intervention outweigh any opposition by the parties presently in the action." (*Reliance*, *supra*, 84 Cal.App.4th at p. 386.) Colony meets these requirements.

The Court does not see the first three factors as particularly controversial. The fourth factor essentially calls for a balancing of Plaintiff's and Colony's interests against potential prejudice. This prejudice analysis underlies both the motion to vacate default and the motion to intervene. Colony argues that "Plaintiff will not be prejudiced by litigating its case on the merits as it would have anticipated doing when it filed this lawsuit.” (Motion, at p. 19.) Plaintiff’s strongest counter argument is that “the death of Mr. Osuna materially undermines the relief sought. … Granting the motion in these circumstances would invite confusion, procedural irregularity, and prejudice to Plaintiff.” (Opposition, at p. 7.) However, as Plaintiff notes elsewhere, “as a practical matter, Mr. Osuna’[s] testimony is no longer available to contradict Plaintiff’s allegations and proof.” (*Id*., at p. 5.) Prejudice does not lie where Plaintiff believes its case will actually be stronger as a practical matter. Just as Defendant Osuna did not formally participate in the default prove-up hearing, he will not personally participate in any potential trial. The Court does not find that Defendant Osuna’s absence now unduly prejudices Plaintiff.

Therefore, Colony’s Motion to Intervene is GRANTED. Colony shall serve and file its Complaint in Intervention as proposed and attached as Exhibit A to this motion within 10 days of the date of the hearing.

The matter shall be set for a further Case Management Conference on November 5, 2025 at 10:00 a.m. in Department 13.

The Court will prepare the final order.

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Calendar Line 8

Case Name: *Moses Veyu vs COVENANT CARE CALIFORNIA, LLC*
Case Number: 24CV448116

Plaintiff moves the Court for an Order Vacating the Joint Stipulation and Order to Stay Case Pending Arbitration pursuant to CCP §1281.98 and for an award of monetary sanctions pursuant to CCP §1281.99. Plaintiff's motion is DENIED.

Fees were due on April 28, 2025. By all accounts, JAMS had the money on April 30, 2025. Plaintiff declares that the fees were "submitted" on April 30, 2025. (Koulloukian Decl., at ¶ 9.) Plaintiff's evidence, however, shows the fees were "posted" on that date. (Koulloukian Decl., at Exh. 5.) The transition of a transaction from "pending" to "posted" does not resolve the pertinent question. Section 1281.98, subd. (a) looks to when the fees are "paid." Payment is generally effectuated when the remittance gets into the hands of the creditor. (See *Cornwell v. Bank of Am.* (1990) 224 Cal.App.3d 995, 999; *Doe v. Superior Court* (2023) 95 Cal.App.5th 346, 358 ["If … fees are not received by the conclusion of the statutory grace period, an employee may immediately elect to pursue options for relief."].) Defendant has presented evidence that JAMS received payment on April 25, 2025. In Reply, Plaintiff criticizes the location to which Defendant delivered the fees. While JAMS indicated Defendant "may" use one of the three payment options described in its April 14, 2025 email, Defendant cannot be faulted for delivering payment by overnight mail to the address listed and as expressly described on the invoice itself. The Court finds Defendant timely paid fees.

Regardless, by enacting section 1281.98, "the Legislature sought to deter companies and employers from engaging in *strategic* nonpayment of arbitration fees; we find no indication that it intended to strip companies and employers of their contractual right to arbitration where nonpayment of fees results from a good faith mistake, inadvertence, or other excusable neglect." (*Hohenshelt v. Superior Court*, 2025 Cal. LEXIS 4936, *4.) "[W]hen it appears that [the party] has acted in good faith, given some reasonable excuse for the delay, and thereafter tendered performance promptly and with reasonable diligence," equity can excuse nonperformance so long as the breaching party can and does "adequately compensate[]" the nonbreaching party for any harm caused by the delay." (*Id.*, at *23, quoting (*Hopkins v. Woodward* (1932) 216 Cal.619, 622.)

Under any interpretation of Defendant's evidence, it acted in good faith, tendered performance promptly and with reasonable diligence, and Plaintiff has suffered no harm from the alleged delay. If indeed JAMS received the fees no sooner than April 30, 2025, Defendant caused the fees to be delivered by overnight mail on April 24, 2025 (four days before they were due) and sent them to the address listed for overnight delivery on the invoice, this is a good faith mistake, inadvertence, or other excusable neglect. It is difficult to attribute any fault to Defendant under these circumstances, but if there is any, it is excusable.

The Court will prepare the final order.

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